PRESSURE EVENT INTELLIGENCE MEMO

Penske Automotive Group, Inc. (public unaffiliated stockholders) / Motown Acquisition Corp.

AUDIT ID: AUDIT-PENS-MOTO-20261021-REV1

TO:	MANAGING DIRECTORS // SPECIAL SITUATIONS COMMITTEE	**TRANSACTION:**	Penske Automotive Group, Inc. (public unaffiliated
FROM:	RAVEN ADVERSARY FORENSIC INTELLIGENCE DESK	**STRUCTURE:**	Merger / Controller Take-Private (Cash Merger)
DATE:	22 OCTOBER 2026	**STATUS:**	DEFINITIVE AGREEMENT
RE:	IMMEDIATE RESTRUCTURING & CLOSING LEVERAGE DIRECTIVE	**CLASSIFICATION:**	BOARD TRANSACTION INTELLIGENCE

01. CATALYST TRIGGER & CREDITOR AMPLIFICATION VECTORS

PRIMARY CATALYST TRIGGER

Stockholder litigation filing in the Delaware Court of Chancery alleging failure to satisfy the strict dual-procedural prerequisites of MFW due to the adoption of a 'majority of votes cast' standard rather than a majority of all outstanding unaffiliated public shares, alongside activist public 'vote-no' / bumpitrage mobilization targeting the 18,007,168-share minority float.

CREDITOR LEVERAGE & AMPLIFIER

The consortium's 72.6% beneficial ownership lock-up and concurrent Support Agreements pre-empt third-party alternative bids, while PAG's operational stability depends on clearing OEM franchise change-of-control consents (e.g., BMW, Porsche, Freightliner) and executing the Thirteenth Amendment to the U.S. Credit Agreement, which conditions $900.0M of upsized revolver capacity and a $400.0M Overadvance line on the concurrent funding of at least $2.2B in sponsor equity.

02. BALANCE SHEET PROPAGATION CASCADE

Penske Automotive Group, Inc. (NYSE: PAG) faces structural vulnerability in its proposed take-private transaction by Motown Acquisition Corp. (64% Penske Corporation, 36% Mitsui & Co.). The transaction relies on a bifurcated stockholder approval structure where the Kahn v. M&F Worldwide Corp. (MFW) minority cleansing prong is contractually defined as 'a majority of the votes cast by the disinterested stockholders (as defined in Section 144 of the DGCL)' rather than a majority of all outstanding unaffiliated shares. This votes-cast formulation creates an identifiable litigation target under Delaware Chancery Court entire fairness jurisprudence, compounded by an 8.6% premium over the pre-announcement unaffected price ($212.00 cash vs. $210.00 initial bid, $195.21 unaffected baseline). Concurrently, closing is conditioned on securing complex OEM change-of-control consents across global franchise networks and executing debt backstops for a $502.7M mandatory 101% par Change-of-Control Put on PAG's 3.75% Senior Subordinated Notes due 2029.

03. GOVERNANCE TOPOLOGY & FIDUCIARY DISCLOSURE MANDATES

Potential loss of the business judgment rule protection if the Delaware Court of Chancery rules that a 'majority of votes cast' standard does not satisfy Kahn v. M&F Worldwide Corp. prerequisites, restoring the entire fairness standard of review and exposing controlling stockholders and Special Committee members to substantive valuation scrutiny and disclosure-based liability.

04. IMMEDIATE RESTRUCTURING & ACTION DIRECTIVE MATRIX

INTENDED DECISION-MAKER / ROLE	INSTITUTIONAL TARGET	ACTIONABLE DILIGENCE / RESTRUCTURING DIRECTIVE
MERGER-ARBITRAGE PORTFOLIO MANAGERS	DGCL 144 Disinterested Approval & Low-Turnout Risk	Audit Section 1.01 majority-of-votes-cast hurdle (18.01M public float); model passage on just 2.70M votes (15.0% public turnout) vs Delaware MFW majority-of-unaffiliated standard.
SPECIAL SITUATIONS & REGULATORY DESKS	OEM Dealership Franchise Agreements & ROFR Waivers	Demand verified written consents and ROFR waivers across PAG 368 retail dealerships and 45 commercial truck points (BMW, Freightliner) to pre-empt OEM operational disruption.
CREDIT INVESTORS & LENDER SYNDICATE	Credit Agreement 13th Amendment & $400M Overadvance	Verify captive lender waiver expiration (5 business days post-Oct 15, 2027 Outside Date) and borrowing base compliance under $400M uncollateralized Overadvance commitment.
SUBORDINATED NOTEHOLDERS & TRUSTEES	3.75% Senior Subordinated Notes 2029 Indenture Put	Confirm whether noteholders intend to exercise 101% Change-of-Control repurchase put ($502.7M cash requirement) backstopped by $1.8B bridge facility.

CONFIDENCE GRADE: MEDIUM [VERIFIED FACT] | EXPOSURE ITEMS: 3 VERIFIED CLAUSES

PRIMARY SOURCE BASE: SEC EDGAR DEFINITIVE FILINGS (FORM 8-K, EX-2.1, EX-10.1, SCHEDULE 13D)

ATTESTATION: RAVEN ADVERSARY INSTITUTIONAL AUDIT DESK // ATT-EDGAR-0001849

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